

HOUSE BILL 2068

By Todd

AN ACT to amend Tennessee Code Annotated, Title 5;
Title 6; Title 7 and Title 13, Chapter 7, relative to
zoning.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 13, Chapter 7, is amended by adding
the following as a new part:

13-7-701.

As used in this part:

(1) "Downzone" means a zoning action, land-use regulation, ballot
initiative, or administrative policy that results in:

(A) A reduction in permitted density, floor area ratio, building
height, lot coverage, build requirements, or other form-based entitlement;

(B) A regulation that introduces or increases procedural barriers,
including new discretionary reviews, conditional use permits, public
hearings, or other non-ministerial processes, for projects that previously
qualified for by-right or administrative approval;

(C) A regulation that reduces or restricts the lawful use, division,
sale, or possession of property; or

(D) The imposition of design standards, objective development
standards, specific plans, neighborhood plans, or overlay zones that
reduce a parcel's feasible yield or buildable area relative to prior
entitlements; and

(2) "Zoning authority" means a governmental entity that has zoning or permitting authority.

13-7-702.

A zoning authority shall not adopt or enforce an amendment to zoning regulations or a zoning map that downzones property, except as provided in this part.

13-7-703.

(a) This part does not apply to downzoning necessary to:

(1) Protect the public from legitimate threats to health or safety, which includes regulations necessary to prevent or mitigate conditions that pose an imminent threat to human life or property, such as geologic hazards, unstable soil, earthquake fault zones, fire hazard severity zones, or known flood-prone areas, as defined by local emergency management authorities or applicable building and fire codes;

(2) Comply with federal or state law, including the Endangered Species Act (16 U.S.C. § 1531 et seq.), the Fair Housing Act (42 U.S.C. §§ 3601 et seq.), the Americans with Disabilities Act (42 U.S.C. §§ 12101 et seq.), or applicable building accessibility standards; or

(3) Prevent or abate a nuisance.

(b) This part does not prevent the addition of compatible commercial, light industrial, or mixed-use zoning overlays; provided, that residential capacity is not reduced and the modifications are consistent with the zoning authority's adopted land use regulations.

13-7-704.

(a) A property owner whose property is the subject of a downzone and who has not been compensated pursuant to § 13-7-705 may bring an action for any of the following forms of relief:

(1) To enjoin enforcement of the downzone;

(2) For declaratory relief; or

(3) To recover damages for the loss of fair market value caused by the downzone.

(b) The zoning authority has the burden to prove by clear and convincing evidence that an exception under § 13-7-703 applies.

(c) A prevailing property owner, housing developer, or nonprofit organization in a court action must be awarded reasonable attorney's fees and costs.

(d) A zoning authority shall not require an application for a project to indemnify, defend, or hold harmless the zoning authority in any manner with respect to an action brought by the applicant, or another person, alleging that the zoning authority violated the applicant's rights or deprived the applicant of benefits or protections provided by law.

13-7-705.

(a) A zoning authority shall compensate a property owner if the adoption or enforcement of a downzone results in a demonstrable reduction in the fair market value of the property attributable to limitations on the property's lawful use.

(b) The amount of compensation is calculated as the difference between the fair market value of the property immediately before the adoption of a downzone and the fair market value after its enforcement. This valuation must be established through an independent, certified appraisal submitted by the property owner.

(c) A jurisdiction may avoid liability for compensation by electing to waive the application of the downzone as it pertains to the subject property within sixty (60) days of

receiving written notice from a property owner or within the time to answer an action filed pursuant to § 13-7-704, whichever comes first. If waived, the downzone is void with respect to that property.

SECTION 2. This act takes effect July 1, 2026, the public welfare requiring it, and applies to a downzone adopted on and after July 1, 2026.